

Health Cover Comparison

STAR HEALTH · SUPER STAR – PREFERRED · FOUR QUOTED OPTIONS

RECOMMENDATION

Take the **₹20 lakh cover**. It costs only **₹12,719 a year more** than ₹10 lakh — 27.8% more premium for twice the protection. On the payment term, **pay annually** unless the money would otherwise sit idle in a savings account: the three-year discount is smaller than what the same cash earns in a fixed deposit.

The four options

OPTION	PREMIUM	COST PER YEAR	3 × ANNUAL	YOU SAVE	PER ₹1 LAKH	VERDICT
₹10 lakh — 1 year annual renewal	₹45,823	₹45,823	—	—	₹4,582	Cover too thin
₹10 lakh — 3 years paid up front	₹1,31,460	₹43,820	₹1,37,469	₹6,009	₹4,382	Weak discount
₹20 lakh — 1 year annual renewal	₹58,542	₹58,542	—	—	₹2,927	Recommended
₹20 lakh — 3 years paid up front	₹1,64,746	₹54,915	₹1,75,626	₹10,880	₹2,746	Fair alternative

Why ₹20 lakh, not ₹10 lakh

36% cheaper per rupee of cover — ₹2,927 per lakh against ₹4,582

In health insurance the first rupee of cover is always the most expensive. Doubling the sum insured from ₹10 lakh to ₹20 lakh adds **₹12,719 a year, or 27.8%** — not another 100%.

A single cardiac or oncology admission in a Pune or Mumbai private hospital can run past ₹10 lakh on its own. At that point the thinner cover stops at the worst possible moment, having cost you only ₹1,060 a month less.

Is the three-year lock worth it?

Paying three years up front costs you the use of the year-two and year-three money. The break-even is the return at which paying annually comes out ahead.

COVER	SAVING	BREAK-EVEN	VERDICT
₹10 lakh	₹6,009	4.64%	Poor
₹20 lakh	₹10,880	6.76%	Fair

A fixed deposit comfortably beats 4.64%, so on the ₹10 lakh option the three-year discount is worth **less than leaving the money in the bank**. At ₹20 lakh the break-even is close to FD rates, making it roughly a wash — take it if the cash would otherwise sit idle, or if you want the premium rate fixed for three years.

One figure to confirm before you decide. The savings above are the arithmetic difference between the two premiums quoted for the same cover — ₹1,37,469 less ₹1,31,460 is ₹6,009 at ₹10 lakh, and ₹1,75,626 less ₹1,64,746 is ₹10,880 at ₹20 lakh. If a larger savings figure has been quoted elsewhere, ask which base premium it is measured against, since it will not be the annual premium shown in the same quote.

Before you buy

- **Check whether these premiums include GST.** A quote excluding it changes the comparison materially, and the tax treatment of health premiums has moved in recent years.
- **The three-year premium is not fully deductible in year one.** Under Section 80D a multi-year premium is allowed proportionately across the years it covers, so paying up front brings no tax advantage — and 80D applies only under the old tax regime.
- **A three-year lock cuts both ways.** It fixes your premium against mid-term rate revisions, which is its real advantage. It also prevents you porting to a better or cheaper insurer for three years.
- **Confirm the waiting periods and room-rent terms** for pre-existing conditions and specific treatments, and whether the plan carries any room-rent or co-payment cap. These decide what you actually recover, far more than the premium difference does.
- **Declare existing conditions in full.** Nothing in this comparison matters if a claim is later rejected for non-disclosure.

Prepared for discussion from premium quotations received from Star Health on 5 October 2026 for Super Star — Preferred. Opulencia Capital Private Limited is an AMFI-registered mutual fund distributor; this sheet compares quotations supplied by the insurer and is neither a solicitation nor a recommendation to purchase insurance, nor an insurance-intermediary service. Premiums, terms, waiting periods and tax treatment are as determined by the insurer and prevailing law, and are subject to change and to underwriting. Break-even returns are calculated by discounting three annual premiums to present value and comparing with the single three-year premium; they assume premiums remain unchanged on renewal, which is not guaranteed. Please read the policy wording and prospectus before purchasing.